FAQs – TIO-01

1. A retail trader would have limited resources and infrastructure. Which style of trading should one explore initially, HFT/MFT?

   For those who are beginners in algorithmic trading and pursuing trading for the first time, start with Low-Frequency Trading (LFT). After being comfortable with it, one can expand their portfolio with MFT trading. For experienced traders, the suggestion would be to start automation of manual or discretionary strategies and then scale operations.

2. Do retail traders automatically have Direct Market Access (DMA) on their trading platform or do trades go through a broker?

   Most retail traders place their trades through brokers, and the majority of time, their operations are routed through a broker. However, retail traders can also think of DMA when their trading volume is sufficiently high.

3. Do the brokers provide service to trade from their collocated servers to their clients?

   Some brokers do provide such services. We urge you to get in touch with your broker/s and check with them for more information. This space is highly limited, and the services provided by brokers wildly change from broker to broker.

4. Do we have any open-source structure/skeleton for what a CEP and an Order Manager look like?

   Please check out this open-source automated trading platform.

5. What would be the expected size of the tick-by-tick data for a single day for a single asset?

   For a single day single asset, the tick-by-tick data would be around a few hundred megabytes.

6. How do we monitor timing/ latency when working through a broker?

   There are two parts to it:

   a. Time taken from a local machine to the broker's server. One can use the ping command to check the latency.
   b. Time taken by the broker's server to reach the exchange. For this part, one has to check with the broker.

7. How to get "Test Market" access to test the strategy before live deployment?

   Please check with a broker whether they provide the paper trading facility. If they provide, one can test a strategy before the live deployment. There are a few brokers who provide this facility; Alpaca, FXCM, and Interactive Brokers are some of the examples who provide paper trading accounts.

8. How to replay data out of market hours?

   One would require a market simulator to replay stored data outside market hours. If one is paper trading, then she needs to test the algorithm during market hours.

9. I have strategies that use technical indicators and trade in a low-frequency manner. All these strategies are built using Python. Can I have all of this done in Blueshift?

   Yes, you can deploy such strategies quickly through Blueshift. Be mindful that you will have to execute your strategies with the brokers supported on the platform. Suppose you want to go via any other broker (which are not yet supported by Blueshift); in that case, you can have your infrastructure in the cloud or on your premises.

10. Is it possible to do HFT from Delhi (one city) if the trading server is near the exchange in Mumbai (another city)?

    One can keep trading servers on the same network as the exchange, say in Mumbai, and you as a trader sit in Delhi. Yes, it is possible. Traders can access the trading servers from Delhi and trigger the algorithm from there.

11. What are the sites that provide news analytics in a quantified manner?

    RavenPack (Dow Jones International), Thomson Reuters News Analytics, and Bloomberg Sentiment Analysis are some of the sources for machine-readable news. These are paid services.

12. What is the best data for HFT strategies?

    HFT firms almost always use tick-by-tick data sourced from the exchange.

13. A co-location facility requires what kind of strategies?

Co-location is a facility provided by most exchanges to deploy trading algorithms on the same network as the trading engine. In this setup, it is most suitable for low latency strategies or HFT. If the strategies do not fall in that space, one need not go for co-location.

14. When exchanges provide tick-by-tick market data (which represents changes in orders), do they also provide the initial order book that you can build on?
    An order book starts afresh every trading day. There won't be any data in it from the previous day. When an exchange starts sending data when the market opens, algorithms will start building order books as data keeps coming in.